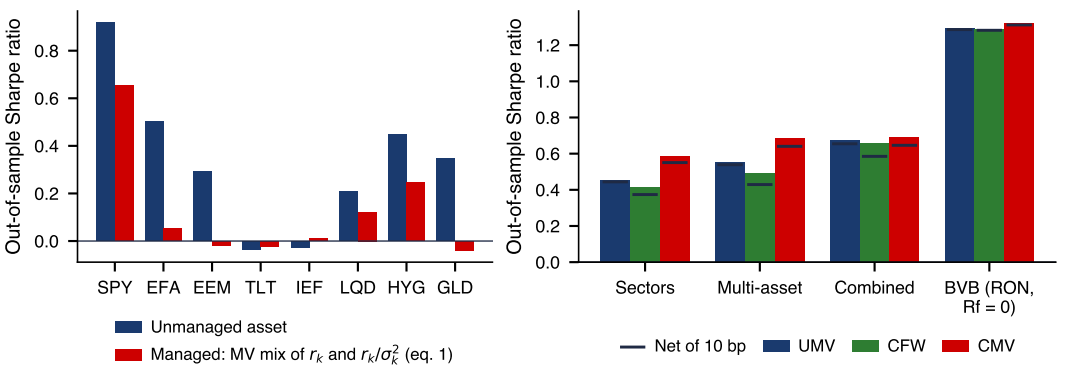
Multi-asset: one asset at a time
Out-of-sample Sharpe ratio
0.8
0.6
0.4
0.2
0.0
SPY
EFA
EEM
TLT
IEF
LQD
HYG
GLD
Unmanaged asset
Managed: MV mix of r_k and r_k/σ_k^2 (eq. 1)
All assets together, gamma = 5
Out-of-sample Sharpe ratio
1.2
1.0
0.8
0.6
0.4
0.2
0.0
Sectors
Multi-asset
Combined
BVB (RON, Rf = 0)
Net of 10 bp
UMV
CFW
CMV